

that they received, or they could sell the parent and keep the Baby Bells. If they did their homework, they sold ATT, kept the Baby Bells, and added to their position with as many more shares as they could afford.

Pounds of material were sent out to the 2.96 million ATT shareholders explaining the Baby Bells' plans. The new companies laid out exactly what they were going to do. A million employees of ATT and countless suppliers could have seen what was going on. So much for the amateur's edge being restricted to a lucky few. For that matter, anyone who had a phone knew that there were big changes going on. I participated in the rally, but only in a modest way—I never dreamed that conservative companies such as these could do so well so quickly.

(5) THE INSTITUTIONS DON'T OWN IT, AND THE ANALYSTS DON'T FOLLOW IT

If you find a stock with little or no institutional ownership, you've found a potential winner. Find a company that no analyst has ever visited, or that no analyst would admit to knowing about, and you've got a double winner. When I talk to a company that tells me the last analyst showed up three years ago, I can hardly contain my enthusiasm. It frequently happens with banks, savings-and-loans, and insurance companies, since there are thousands of these and Wall Street only keeps up with fifty to one hundred.

I'm equally enthusiastic about once-popular stocks the professionals have abandoned, as many abandoned Chrysler at the bottom and Exxon at the bottom, just before both began to rebound.

Data on institutional ownership are available from the following sources: *Vicker's Institutional Holdings Guide*, *Nelson's Directory of Investment Research*, and the *Spectrum Surveys*, a publication of CDA Investment Technologies. Although these publications are not always easy to find, you can get similar information from the *Value Line Investment Survey* and from the S&P stock sheets, also called tear sheets. Both are routinely provided by regular stockbrokers.

(6) THE RUMORS ABOUND: IT'S INVOLVED WITH TOXIC WASTE AND/OR THE MAFIA

It's hard to think of a more perfect industry than waste management. If there's anything that disturbs people more than animal casings, grease and dirty oil, it's sewage and toxic waste dumps. That's why I got very excited one day when the solid waste executives showed up in my office. They had come to town